

UNDERSOUNDS ENTERTAINMENT PRIVATE LIMITED

To Anarock (Attn: Mr. Vallabh Khamkar)
From Undersounds Entertainment Private Limited
Date [__ / __ / 2026]
Subject Re: RA Bills, Proposed Deductions and Project Close-out – Reconciliation of Dues under the Anarock Contract

Dear Mr. Khamkar,

We refer to your email dated 20 July 2026, sent in response to our request for the Final Bill, supporting documents, execution status, site handover details, As-Built Drawings, O&M Manuals and our comments on the proposed deductions. We note the invoices listed therein as processed and paid, the further invoices enclosed for processing, and your requests for release of the outstanding RA Bills, issuance of a Virtual Completion Certificate and a separate Work Order for the Non-Tendered / Variation works. Our reconciliation of the amount payable and our response to each of these requests are set out below.

At the outset, we confirm that the RA Bills submitted by Anarock have been processed by us in the normal course of the project, and we have no dispute with that mechanism. The invoices you have now enclosed for processing — the partially-paid RA Bills APCI-4006-2026 and APCI-4016-2026, together with the unpaid invoices APCI/PMESWEST/37/2026-27, APCI/PMESWEST/38R/2025-26, APCI/PMESWEST/49/2026-27 and APCI/PMESWEST/50/2026-27 — represent the balance pending against the contract, which our reconciliation reflects below. The net amount releasable against that balance is, however, subject to the contractual deductions and the amounts withheld that follow.

1. Amount Otherwise Due to You

The table below sets out how the amount that would otherwise be due to you is arrived at. From the total value of work executed by Anarock (₹9,44,20,593.00), we have adjusted the amounts already paid (₹7,10,23,414.19) to arrive at the balance pending of ₹2,33,97,178.81 — being the amount outstanding against the invoices you have enclosed for processing. From this balance, statutory tax deducted at source (TDS) and the contractual security deposit (SD) are adjusted, giving the amount that would be due for processing — before applying the deductions and the amounts withheld explained further below.

Invoice No.	Running Account	Contract	Amount
APCI-13355-2025			1,38,81,968.00
APCI-13357-2025	RA-01	Civil	91,61,075.00
APCI-13358-2025	RA-01	MEP	15,57,838.00
APCI-13600-2025	RA-02	Civil	39,11,592.00
APCI-13361-2025	RA-02	MEP	84,59,433.90
APCI-4006-2026	RA-03	Civil	1,34,32,852.00
APCI-4016-2026	RA-04	MEP	2,06,18,655.30
Total Work Done Paid			7,10,23,414.19
Total Work done by Anarock			9,44,20,593.00
Pending Amount to Process			2,33,97,178.81
Less: TDS and SD			16,37,802.52
Amount due to Pay (before deductions & withholdings)			2,17,59,376.29

2. Deductions and Amounts Withheld

The following amounts are being deducted against the contract value and, in addition, withheld pending resolution. The deductions comprise contractual penalties for delay and non-performance, together with additional costs the Company incurred as a direct result of delays and lapses attributable to Anarock. The

amounts withheld relate to costs and potential liabilities arising from inadequate site conditions and from Anarock's handling of the installations, certain of which will be finalised on completion of the ongoing audit. Each item is explained below.

Particulars	Amount	Comments
Deductions		
Delay Penalties	1,30,82,682	The contractual completion date was 16 February 2026, extended to 4 March 2026 on account of delay notices aggregating 16 days. As the project remained incomplete beyond even this extended date, the maximum delay penalty of 10% of the contract value has been levied in terms of the contract.
Kinetic Additional Payment	2,03,875	Additional charges raised by the Kinetic vendor for repeated site visits, as the site was not ready for installation. The cost is being recovered from Anarock, to whom the lack of site readiness is attributable.
Fabric Forest Additional Claim	8,63,000	Additional charges raised by the Fabric Forest vendor for repeated site visits, as the site was not ready for installation. The cost is being recovered from Anarock, to whom the delay is attributable.
PMC	17,82,000	Recovery of PMC fees. As agreed with Mr. Amit, only 10% of the PMC fees paid was accepted as eligible; the balance is accordingly being deducted.
Missing Report	2,15,000	Penalty for non-submission of contractually required progress reports: 35 weekly reports at ₹5,000 each (₹1,75,000) and 8 monthly reports at ₹5,000 each (₹40,000), aggregating ₹2,15,000.
Management Substitution Cost and Content Team Standby Cost	50,00,000	Additional costs incurred by the Company as a direct result of the prolonged delay attributable to Anarock. The design and project-management consultants had to be retained for the extended period, resulting in additional professional fees and significant management time. The content team was likewise kept on standby, as the site was not ready for content testing and commissioning. These costs arise solely from the delay in completion.
Architect Retention	8,00,000	Cost of retaining the architect over the extended project period. This has been discussed and mutually agreed with Mr. Amit.
Unauthorised and Non-Compliant Works - Executed, Demolished, and Reconstructed at Client's Cost	To be determined	Cost of unauthorised and non-compliant works executed by Anarock, which had to be demolished and reconstructed at the Company's cost. The amount will be quantified on completion of the ongoing site audit.
Total Deductions	2,19,46,557	
Amounts Withheld		
Kinetic	49,26,439	The site was not maintained in the dust-free condition required for installation of the Kinetic system, and the installation could not be carried out as planned. The resulting revisit and reinstallation costs, attributable to the inadequate site conditions, are being withheld pending resolution.
LED	6,00,00,000	Several instances were identified and discussed with Anarock where the prescribed guidelines for handling and protecting the LED installations were not followed — for instance, Anarock's labour accessing the LED floor for cleaning contrary to procedure — resulting in damage to the LED system. The amount is being withheld pending assessment of the damage.
Fire	73,95,863	Amount withheld pending the outcome of the audit currently underway on the Undersounds portion of the site; to be finalised on its completion.
Total Withheld	7,23,22,302	
Total Deductions and Amounts Withheld	9,42,68,859	

3. Response to the Specific Requests in Your Email

Release of the RA Bills and linkage to the Final Bill. As a matter of principle, we do not link the processing of RA Bills to the submission of the Final Bill or the closure documents. The release of the balance is, however, subject to the final commercial reconciliation, which is itself a contractual step. The deductions and amounts withheld set out above arise directly from the contract and from documented performance issues; they are not a refusal to pay certified work, but the netting-off that applies before any release. As the deductions alone exceed the balance otherwise due, no amount is presently releasable.

Virtual Completion Certificate. The project remained incomplete beyond the extended completion date of 4 March 2026, and the site audit is still in progress. We are therefore not in a position to issue a Virtual Completion Certificate at this stage. It will be considered upon completion of the outstanding works, receipt of the official handover, and conclusion of the audit.

Separate Work Order for Non-Tendered / Variation works. Legitimate non-tendered and variation items will be considered for a separate Work Order or Amendment once they have been verified and quantified through the ongoing audit. We note, however, that certain works executed were unauthorised and non-compliant and had to be demolished and reconstructed at the Company's cost (as reflected in the deductions above); such works cannot form part of any such Work Order.

Handover, final invoices and audit. To date, we have not received any official handover from Anarock, and no date has been confirmed for it. The final invoices are also awaited; these are necessary to determine the exact quantum of the delay penalty, and until they are received the ongoing site audit cannot be concluded. To that extent, the figures set out above are provisional and remain subject to revision on receipt of the final invoices and completion of the audit. We note that the balance deliverables and closure documents are stated to be under preparation, and look forward to receiving them.

As will be evident from the above, the deductions set out above (₹2,19,46,557) already exceed the amount that would otherwise be due for processing (₹2,17,59,376.29). Accordingly, no amount is presently payable by us, and the amounts withheld stand over and above this position. We would add that our earlier email setting out these deductions, sent on 15 May 2026, also remains unanswered by Anarock. The final figures will be confirmed once the ongoing site audit is concluded and the items yet to be determined are quantified.

We remain willing to take you through these workings and reconcile the position at a mutually convenient time, and to release any net amount found due on completion of the reconciliation. Supporting documents can be shared on request.

Regards,

[Name]

[Designation]

Undersounds Entertainment Private Limited